

Introduction to Digital Marketing (Diploma Notes)

1.1 Fundamentals of Digital Marketing

Meaning / Definition

Digital marketing is the promotion of products, services, or brands using **digital channels** such as websites, search engines, social media, email, mobile apps, and online advertising.

It focuses on reaching customers where they spend time today—on the internet and mobile devices—and measuring results accurately.

Example:

A local bakery runs Instagram ads to show new cakes, uses Google Maps to appear in “bakery near me” searches, and sends WhatsApp offers to repeat customers—this is digital marketing.

Scope (Where digital marketing is used)

Digital marketing applies to almost every sector:

Businesses (B2C): fashion, electronics, food delivery, tourism, etc.

Businesses (B2B): software companies, machinery suppliers, consultancy firms, etc.

Services: coaching classes, hospitals, salons, financial services

Government & NGOs: awareness campaigns, public announcements

Personal branding: influencers, creators, freelancers

Significance / Importance

Digital marketing is important because it offers:

Wider reach – you can reach local, national, or global audiences.

Targeted marketing – show ads to specific age, location, interests, etc.

Measurable results – track clicks, views, leads, sales, ROI.

Cost effectiveness – cheaper than many traditional methods.

Two-way communication – customers can comment, message, review.

Personalization – content can be customized to user behavior.

Faster campaigns – launch and change campaigns quickly.

Traditional vs Digital Marketing (Key differences & advantages)

Factor	Traditional Marketing	Digital Marketing
Channels	TV, radio, newspapers, posters	Google, Instagram, YouTube, websites, email
Cost	Usually high	Flexible (low to high)
Targeting	Limited (general audience)	Highly specific targeting
Interaction	One-way communication	Two-way communication
Measurement	Difficult, approximate	Accurate and real-time analytics
Speed	Slow to change	Quick to update
Reach	Local/regional (mostly)	Global (possible)

Example:

A newspaper ad is seen by many unrelated people. A Facebook ad can be shown only to "18–25, college students in Ahmedabad, interested in fitness".

1.2 Evolution and Growth of Digital Marketing

Milestones in digital marketing (basic timeline)

1990s: Early websites + email marketing begins

1998: Google launched → search marketing becomes powerful

2000s: SEO and Google Ads grow; e-commerce expands

2004–2010: Social media boom (Facebook, YouTube, Twitter)

2010s: Smartphones → mobile marketing, apps, location-based marketing

2020s: AI tools, automation, personalization, voice search, short videos

Impact of mobile technology

Mobile changed marketing because:

People browse anytime, anywhere

Location-based targeting became possible (nearby store offers)

Mobile-friendly websites and apps became essential

WhatsApp/SMS marketing became popular

Example:

Zomato/Swiggy sends push notifications like "50% off within 2 km".

Impact of AI and automation

AI improves marketing through:

Chatbots for customer support

Recommendation systems ("You may also like...")

Automated email flows based on behavior

Ad optimization (AI decides best audience/time/creative)

Content assistance (ideas, captions, subject lines)

Example:

Amazon suggests products based on your past searches and purchases.

1.3 Digital Marketing Strategies: P.O.E.M. Framework

P.O.E.M is a common framework to organize digital marketing channels:

1) Paid Media

You **pay** to get visibility.

Google Search Ads

YouTube Ads

Instagram/Facebook Ads

Display ads on websites

Sponsored influencer posts

Examples:

Paying ₹500/day to run Instagram ads for a gym membership.

Google ad showing on top when someone searches "best laptop under 50000".

Pros: Fast results, scalable

Cons: Stops when you stop paying

2) Owned Media

Channels you **own and control**.

Your website / blog

Your social media pages

Your email list

Your mobile app

Your YouTube channel (your content)

Examples:

Company website with product info

Blog posts explaining services

Email newsletter to customers

Pros: Long-term asset, builds brand

Cons: Takes time to grow

3) Earned Media

Visibility you **earn** through trust, quality, and word-of-mouth.

Reviews & ratings (Google reviews)

Shares, mentions, reposts

Free PR coverage

User-generated content (UGC)

Examples:

A customer posts a story tagging your cafe.

A tech blog reviews your app for free because it's useful.

Pros: High credibility

Cons: Less control, takes time

4) Shared Media (often included in POEM extensions)

Content shared between brand and audience.

Comments, community discussions

Shares/retweets

Social engagement

1.4 Digital Marketing Planning & Execution

A) Identifying target audience & market research

Target audience

A **target audience** is a specific group most likely to buy your product/service.

Common targeting factors:

Demographics: age, gender, income, education

Geography: city, state, country

Psychographics: interests, lifestyle, values

Behavior: online activity, purchase history, device usage

Example:

A coaching class targets "Class 10 students in Surat preparing for board exams + parents aged 35–50".

Market research (meaning)

Market research is collecting information about customers, competitors, and market demand to make better decisions.

Methods:

Surveys (Google forms)

Interviews / focus groups

Competitor analysis (pricing, ads, content)

Keyword research (what people search online)

Social listening (what people say on social media)

Example:

Before launching a new café, research: "what price people accept", "popular flavors", "competitor offers".

B) Steps to create a digital marketing plan

Define goals (business goals + marketing goals)

Understand audience (persona creation)

Competitor analysis

Choose platforms (Google, Instagram, YouTube, email, etc.)

Develop content strategy (posts, blogs, videos, ads)

Set budget & timeline

Execute campaigns

Track performance (KPIs)

Optimize based on data

Report and improve continuously

C) Setting objectives, selecting channels & measuring success

Objectives (SMART)

Objectives should be **SMART**:

Specific

Measurable

Achievable

Relevant

Time-bound

Examples:

"Get 200 leads in 30 days."

"Increase website traffic by 25% in 2 months."

"Reach 10,000 followers in 6 months."

Selecting digital channels (common channel list)

SEO (Search Engine Optimization): rank on Google organically

SEM/PPC (Paid search ads): pay for search engine ads

Social Media Marketing: organic posts + ads

Content Marketing: blogs, videos, guides, infographics

Email Marketing: newsletters, promotions, follow-ups

Affiliate Marketing: commission-based promoters

Influencer Marketing: creators promote products

Mobile Marketing: SMS, WhatsApp, app notifications

Online PR: digital press coverage, brand mentions

Choose channels based on:

where your audience spends time

budget

product type

time (quick results vs long-term growth)

Measuring success (KPIs + metrics)

Common metrics:

Impressions: how many times shown

Reach: unique people who saw

Clicks: total clicks

CTR (Click Through Rate): $\text{clicks} \div \text{impressions} \times 100$

CPC (Cost Per Click): $\text{ad cost} \div \text{clicks}$

Leads: inquiries, form fills, calls, messages

Conversion rate: $\text{conversions} \div \text{visitors} \times 100$

CPA (Cost per Acquisition): $\text{cost} \div \text{customers gained}$

ROI: $\text{profit from marketing} \div \text{marketing cost}$

Example:

If you spend ₹2000 and get 40 leads → cost per lead = ₹50.

1.5 Latest Trends in Digital Marketing

1) AI-powered marketing (chatbots, personalization, recommendations)

Chatbots handle FAQs 24/7

AI personalizes content (different offers for different users)

Recommendation engines increase sales

Example:

Netflix recommends shows based on watch history.

2) Voice search & conversational AI (Alexa, Siri, Google Assistant)

People search using natural speech:

"Which is the best digital marketing course near me?"

So content should include:

question-answer style (FAQ)

local SEO

simple, conversational language

3) Short-form video dominance (Instagram Reels, TikTok, YouTube Shorts)

Short videos are popular because:

fast to consume

high engagement

easier to go viral

Example:

A clothing store posts “new arrivals” reel daily; customers DM to order.

4) Metaverse, AR/VR marketing & immersive experiences

AR: try products virtually (glasses, makeup)

VR: virtual tours (real estate, travel)

Metaverse: virtual brand experiences (still evolving)

Example:

A furniture brand lets users place a sofa virtually in their room using AR.

5) Zero-click searches & featured snippets in SEO

Sometimes users get answers directly on Google (no website click).

So SEO now focuses on:

structured content

featured snippet formatting

clear headings, bullet points

schema markup (technical)

Example:

Searching “BMI calculator” shows a calculator on Google itself.

1.6 Ethical Considerations & Data Privacy in Digital Marketing

Importance of ethical marketing practices

Ethical digital marketing means:

Honest advertising (no false promises)

Transparent pricing and terms

Respectful communication (no spam)

Responsible influencer promotions (disclose sponsorship)

Avoid manipulation (dark patterns)

Example (unethical):

Showing "Only 1 item left" when stock is actually available—misleading urgency.

Overview of global data protection laws (GDPR, CCPA, DPDP Act)

GDPR (Europe)

Requires lawful basis to collect data

Consent must be clear

Users can request deletion and access of data

Heavy penalties for violations

CCPA (California, USA)

Users have rights to know what data is collected

Users can opt out of "selling" their data

DPDP Act (India) – Digital Personal Data Protection Act

Focuses on consent and responsible handling of personal data

Individuals can request correction/deletion

Businesses must protect data and follow compliance rules

(Note: You don't need to memorize full legal text; understand the key idea: collect minimal data, take consent, protect it, and allow user control.)

Impact of Data Protection Laws on digital campaigns

1) First-party data strategies

Because of privacy restrictions, companies rely more on **first-party data**:
data collected directly from customers (website forms, purchases, app usage)
loyalty programs and email subscribers

Example:

A brand builds an email list by offering a discount coupon for signup.

2) Cookie-less tracking (future of advertising)

Third-party cookies are being restricted.

This affects:

retargeting ads

cross-site user tracking

Marketing adapts using:

contextual targeting (ads based on page topic)

first-party data

privacy-friendly analytics

3) Consent-based marketing

Marketers must:

show cookie consent banners (where applicable)

get opt-in for email/WhatsApp promotions

provide unsubscribe options

Example:

Email newsletters must include an "Unsubscribe" link.

Quick Summary (Exam-friendly)

Digital marketing uses online channels to reach customers and measure performance.

Digital beats traditional in targeting, measurement, and flexibility.

Growth drivers: **internet, mobile, social media, AI.**

POEM: Paid (ads), Owned (your website/social), Earned (reviews/shares), (Shared engagement).

Planning: **audience → goals → channels → execution → KPI measurement → optimization.**

Trends: **AI, voice search, short videos, AR/VR, featured snippets.**

Ethics & privacy: follow consent, protect data; laws like **GDPR/CCPA/DPDP** shape marketing methods.